

POLITICS

Trump Sells 'Rocket Fuel' Tax Plan as Economy Strengthens

By JIM TANKERSLEY and BINYAMIN APPELBAUM NOV. 29, 2017

ST. CHARLES, Mo. — President Trump rallied support on Wednesday for his tax plan in a Missouri county where the unemployment rate is 2.7 percent, a fitting backdrop for a speech in which he bragged about the health of the economy while contending that a major tax cut was crucial to economic growth.

Republicans have juggled those twin claims in pitching their tax bill, which was introduced at the beginning of November and remains on course to reach Mr. Trump's desk next month. They insist that the plan will deliver an immediate stimulus and encourage long-term investment.

"These massive tax cuts will be rocket fuel" for the American economy, particularly for small businesses on Main Street, Mr. Trump said in a speech here.

But some economists question whether rocket fuel is needed at this point in the economic recovery and say that too much stimulus could ultimately backfire.

The economy is strengthening and unemployment is at its lowest point in 16 years. On Wednesday, the Commerce Department said the economy had expanded at an annual rate of 3.3 percent, above the maximum sustainable level of output estimated by the Congressional Budget Office.

Mr. Trump played up that report in a long riff, saying that the growth rate would have been “4 percent, maybe over 4 percent” if not for late summer hurricanes. “We are hitting numbers that nobody thought possible, certainly not in this time” in office, he said, adding, “This is all done without the tax cuts.”

The entire developed world is enjoying a simultaneous economic expansion for the first time since the 2008 financial crisis, and the Fed and other economic forecasters see few obstacles to continued growth on the horizon.

“I’m not in favor of tax stimulus at the current time because the economy doesn’t really need it,” William C. Dudley, the president of the Federal Reserve Bank of New York, said on Monday.

The dispute about the economic effect of the tax plan is playing out at high speed because Republicans are rushing to pass the plan without the rounds of hearings and competing economic analyses that have shaped past efforts to substantially overhaul the federal tax code.

Cutting taxes is likely to bolster short-term economic growth by encouraging more spending. But officials at the Federal Reserve have warned that the American economy is already growing around the maximum sustainable pace, meaning that faster growth is likely to cause higher inflation. The Fed could seek to dampen that effect by moving to raise interest rates more quickly.

“Economic growth appears to have stepped up from its subdued pace early in the year,” Janet L. Yellen, the Fed’s chairwoman, told Congress’s Joint Economic Committee on Wednesday.

“We welcome strong growth,” she said, adding, “We’re worried about trends that could push inflation above our 2 percent objective.”

Those concerns are shared by independent economists. Inflation has remained sluggish since the financial crisis; this is the sixth straight year that inflation is likely to run below 2 percent. But some economists see evidence that the pace of price increases is already strengthening.

Ian Shepherdson, the chief economist at Pantheon Macroeconomics, said inflation was already rising fast in metropolitan areas with low unemployment. Mr. Shepherdson has revised his forecasts upward for next year, in part because of accelerating business investment. That, in addition to a tax cut, would be “like a double boost for an economy that doesn’t need a single boost,” he said.

Charles Evans, the president of the Chicago Fed, said Monday that the Fed might need to raise interest rates more quickly even if growth did not accelerate. Some economists argue larger federal deficits can increase inflation. If tax cuts did increase inflation, or increased expectations of inflation, Mr. Evans said he would favor raising interest rates more quickly in response.

Proponents of the tax plan contend that it will also increase the nation’s economic capacity. They say that cutting corporate taxes, in particular, will encourage more investment. That will raise productivity, resulting in faster economic growth without increased inflation.

The direct benefits of the tax cuts would mostly accrue to the wealthiest Americans, but Republicans say that increased investment will ultimately raise wages, too. Wage growth has remained sluggish in recent years even as the unemployment rate has declined.

Some economic forecasters have increased their estimates for economic growth next year, both as a result of underlying improvement in the economy and in anticipation of a significant tax cut.

The Organization for Economic Cooperation and Development said it expected the American economy to grow 2.5 percent next year, up from a forecast of 2.4 percent six months ago.

The potential pace of economic growth — the effective speed limit for the American economy — is determined by two factors: the expansion of the work force and the productivity of the average worker. Both have grown slowly in recent years, a trend that is expected to continue.

The government projected in October that the labor force would grow at an annual rate of 0.6 percent over the next decade. That is about half the pace of annual growth from 1996 to 2006, when the supply of workers expanded an average of 1.3 percent each year.

The slower growth of the work force reflects the aging of the population as the baby boom generation moves into retirement. The youngest members of that generation will be 62 by 2026. It also reflects the reduced volume of immigration. The number of people moving to the United States has declined in recent years, and the Trump administration is working to further reduce the volume of both legal and illegal immigration to the United States.

The reasons for the slow growth of productivity are less clear.

The productivity of the American economy — basically, the value of a given amount of work — increased at an annual rate of 0.4 percent from 2007 to 2016. That was about half the 0.9 percent pace of annual growth over the previous three decades.

And the problem is becoming worse. Productivity last year fell 0.2 percent.

Some Republicans, including Kevin Hassett, the chairman of the White House Council of Economic Advisers, contend that economic growth is already increasing partly in anticipation of a tax cut, and that failing to pass legislation would send stocks tumbling and curtail growth.

It is a matter of basic logic that lower taxes should encourage corporate investment by increasing the profitability of those investments. But studies generally find the benefits are modest, and corporate executives often discount the importance of tax rates in their decision-making.

When Gary D. Cohn, President Trump's chief economic adviser, recently asked a gathering of chief executives to raise their hands if the proposed tax cuts would affect their investment plans, only a few raised their hands. "Why aren't the other hands up?" Mr. Cohn asked.

Another question is whether higher interest rates might offset the benefits of a tax cut. Critics of the Republican plan argue it would increase the federal debt, which would drive up rates as the government competes with private borrowers for the money it needs to fund its operations.

The Congressional Budget Office estimated in 2014 that every dollar of increased federal borrowing reduced private sector investment by about 15 to 50 cents.

Proponents of the plan argue that those effects are greatly overstated. They say that the government will be able to borrow the money it needs in global markets without driving up rates.

Jim Tankersley reported from St. Charles, Mo., and Binyamin Appelbaum from Washington.

A version of this article appears in print on November 30, 2017, on Page A21 of the New York edition with the headline: 'Rocket Fuel' Plan for an Economy That Is Already Moving Fast.

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